What we do matters.

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ALPLA

Dear Employees, Esteemed Business Partners and Customers!

At the ALPLA Group, we firmly believe that plastic packaging plays an important role in addressing the needs of our growing global population. Each day, we dedicate ourselves to delivering solutions that promote a safe, affordable and sustainable life worldwide. With over three billion people encountering our products daily, we embrace the significant responsibility that accompanies our mission.

Our extensive experience in the design, production and recycling of rigid plastic packaging products has endowed us with a profound and holistic understanding of packaging and its related ecosystems. We make these insights available to our business partners along our supply chain in order to develop solutions that address the needs of consumers, regulators and brands alike. We support the circular economy model and advocate for policy changes as well as industry-wide standards that promote the 4R principles (Reduce, Reuse, Recycle, Replace). Our ultimate aspiration is to create circular loops for our products in order to create markets for post-consumption packaging and to provide the most sustainable packaging solutions to our customers, both local and global. As a company committed to the Science Based Targets initiative (SBTi), this effort goes hand in hand with our decarbonisation efforts, covering both our production and our whole value chain.

Plastic: a vital part of the solution

Embracing the motto ‘Plastic is fantastic’ and through related campaigns, we are endeavouring to stimulate a global discourse on the often underappreciated advantages of plastics. Our intended audience spans customers, suppliers, employees and end consumers alike. Our communication relies solely on rigorously collected scientific facts, data and figures that are transparently accessible. Our aim is to raise society’s awareness that plastic is not the problem in most cases, but rather an integral part of the solution. This is based on the indisputable advantages that plastic offers in terms of safety, affordability and sustainability.

We are aware that the path to sustainability is complex and challenging, yet we also acknowledge its imperative nature. As a company, we are consistently committed to this path. We invite all readers to join us on this journey and to contribute to the realisation of a sustainable future.

Philipp Lehner
CEO

HEADQUARTER ALPLA HARD

ALPLA AT A GLANCE

ALPLA Works Alwin Lehner GmbH & Co KG ('ALPLA' for short) is a global leader in the development and manufacturing of rigid plastic packaging solutions. We produce innovative packaging systems, bottles, closures and injection-moulded parts of the highest quality for various industries.

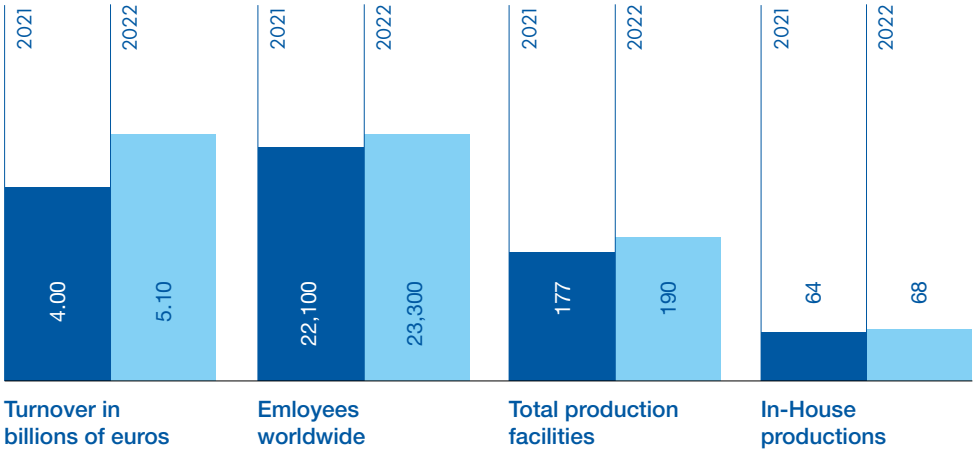
Our customers range from international corporations to local businesses. The applications for our products are diverse. We tailor packaging solutions for beverages, food, dairy products, cosmetics, household care, motor oil, lubricants, pharmaceuticals and crop protection. Our key raw materials are PET and HDPE. With over 30 years of experience in recycling and our own recycling facilities, we also contribute to keeping plastic in the loop.

Alwin Lehner, along with his brother Helmuth Lehner, founded our company in 1955 as 'Alpenplastik Alwin Lehner GmbH' in Hard, Austria. Since then, we have not only remained loyal to our founding location but also to our philosophy as a family-owned business. Trust, respect and reliability, both towards our employees and our customers, have always been essential components of our identity. This is closely connected to the new ALPLA purpose statement, 'Providing solutions for safe, affordable and sustainable living worldwide'.

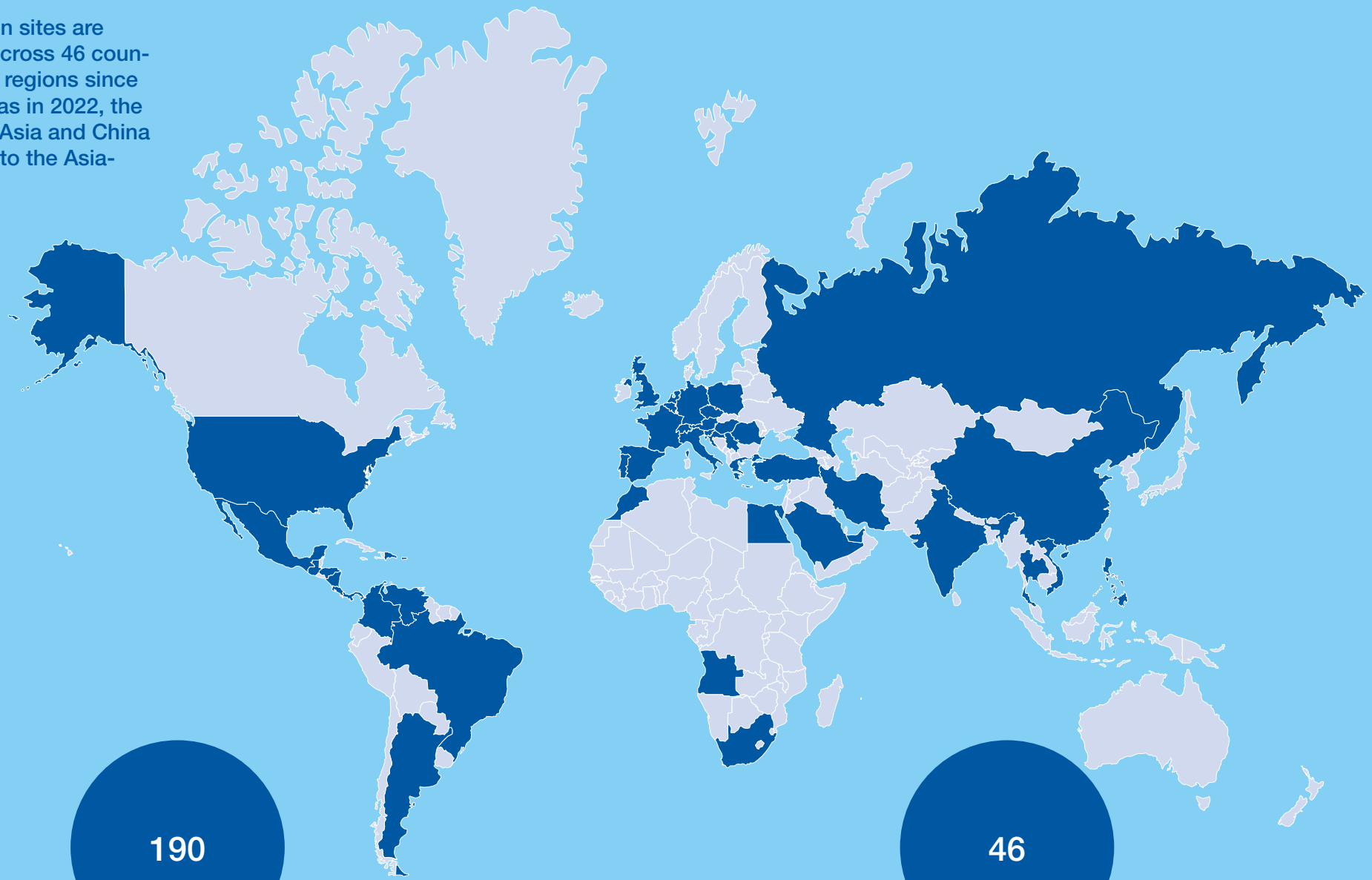
With over 30 years of experience in recycling and our own recycling facilities, we also contribute to keeping plastic in the loop.

As a modern family-owned company, ALPLA maintains a strong connection to its roots while also adopting a forward-looking approach. Profitable business growth not only provides security for our employees but also for our customers and partners. Sustainability, especially the responsible management of resources, forms the foundation of our entrepreneurial activities to ensure that future generations can live in a healthy environment.

ALPLA is a partner in numerous initiatives, research and development programmes and non-profit organisations devoted to building a sustainable packaging economy. Our engagement enables us to work together to focus our strengths and expertise, create innovative solutions and methods and position them where they can achieve the maximum effect.



Our 190 production sites are currently spread across 46 countries in ten ALPLA regions since 2022. As recently as in 2022, the former Southeast Asia and China regions merged into the Asia-Pacific region



190

productions sites

46

countries

The fifth ALPLA sustainability report offers insights into significant environmental, social and economic developments of ALPLA during the fiscal years of 2021 and 2022. Our primary emphasis was on incorporating the GRI Standards guideline in the most effective manner. The provided information encompasses all fully consolidated subsidiaries and global facilities (comprising both base and in-house productions) of ALPLA, but excludes joint ventures.

This sustainability report additionally constitutes a non-financial declaration within the meaning of the Non-Financial Reporting Directive (NFRD).

Reporting as an opportunity

The complete cycle of gathering data and related contextual information is a significant chance for our company, as it allows us to evaluate our performance and objectives consistently and thoughtfully. This enables us to pinpoint specific areas for action to continually enhance our sustainability strategy.

Additionally, through reporting, we can generate added value for the company, our employees and various stakeholders. We regularly provide updates on our initiatives through the internal company magazine, Flaschenpost, our intranet, our external ALPLA blog and our social media channels.

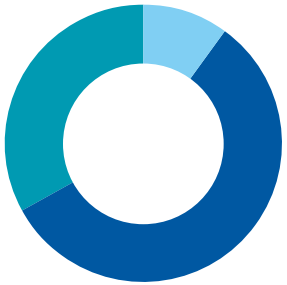
This way, we have been able to significantly strengthen internal communication on sustainability matters in recent years.
This sustainability report feeds into and complements other reporting practices, including our annual reporting to the Carbon Disclosure Project (CDP) and EcoVadis.

The full report is available online:
https://sustainability-report21-22.alpla.com/en

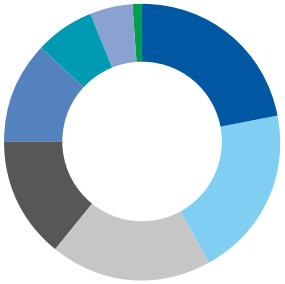
Materiality assessment

In 2022, we conducted a double materiality analysis to update the list of material topics identified in 2018 and presented it in our latest sustainability report. The analysis entailed the identification of relevant topics for ALPLA from two perspectives: inside-out (how ALPLA's business impacts the world) as well as outside-in (i.e. how the material topics have implications for ALPLA). The analysis was conducted based on the three pillars of sustainability at ALPLA – People, Planet and Profitability.

Internal and external stakeholders were then asked to assess the materiality of the relevant topics (on a scale from 1 to 5) in a survey. Internal stakeholders (n=205) included the board and directors, regional managers, regional sustainability responsibles and HQ employees. Global customers and global suppliers were among the external stakeholders involved in the process (n=153). The following graphs depict the composition of the answers received from a geographical and stakeholder group perspective:



57 % Internal
33 % External - Suppliers
10 % External - Customers



22 % SOAM
20 % WEU
19 % APAC
14 % AMET
12 % MXCA-CARI
7 % CEEU
5 % NOAM
1 % INDI

Based on the results of the survey, considering both perspectives of materiality, the following material topics were identified:

PILLARS OF SUSTAINABILITY	MATERIAL TOPICS
People	• Health and safety and working conditions • Skills and education • Equal opportunity
Planet	• Energy • Climate change • Efficient use of resources
Profitability	• Supply and demand discrepancy of raw materials • Customer trends, reputation, product quality • Legal and regulatory changes

This report was published at the end of 2023. From 2025 onwards, ALPLA will be publishing a sustainability report annually.

SUSTAINABILITY AT ALPLA

ALPLA – being a family-owned company – was built on the foundational principles of long-term thinking and conscious decision-making processes, sensitive to the needs of future generations. The company has had sustainability at its core from its very conception. Today, as a leading company in the plastic packaging industry, we recognise that we must share in the collective responsibility of taking steps in the right direction to address growing environmental concerns. In prioritising sustainability, we not only align ourselves with our customers, their needs and their vested interests in sustainable practices, but also enhance our competitiveness in the market by learning and innovating consciously. We attempt to uphold the three pillars of sustainability at ALPLA – People, Planet and Profitability – in our decision-making processes and actions. In this section, we introduce the teams working on pushing sustainability at ALPLA, our sustainability strategy and goals, and offer some insight into our performance, projects and awards.

Sustainability

Sustainability governance at ALPLA

At ALPLA, the corporate sustainability targets are determined by the Sustainability Steering Council. This body includes representatives of various corporate departments, including HR, Sales, Recycling, Operation Management, Plant Engineering as well as Corporate Strategy, Sustainability and Circular Economy. Furthermore, it is of great importance for our CEO, Philipp Lehner, to be part of the Steering Council and stay involved in sustainability- and climate-related decision-making processes.

The Corporate Sustainability team assumes the responsibility of the continuous coordination and monitoring of sustainability-related topics, as well as the regular sustainability reporting activities. The team also manages ALPLA's internal Sustainability Network, established in 2019 with the aim of accelerating the inclusion of sustainability into our operations globally and cross-functionally. Employees responsible for sustainability from all nine ALPLA regions are part of the Network.

'It is imperative to adopt a holistic perspective on sustainability to seamlessly integrate environmental and social considerations across all operations at ALPLA. This must be achieved while navigating through diverse cultures and regulatory landscapes.'

Aswathy Koottummel,
Corporate Sustainability &
Circular Economy Expert

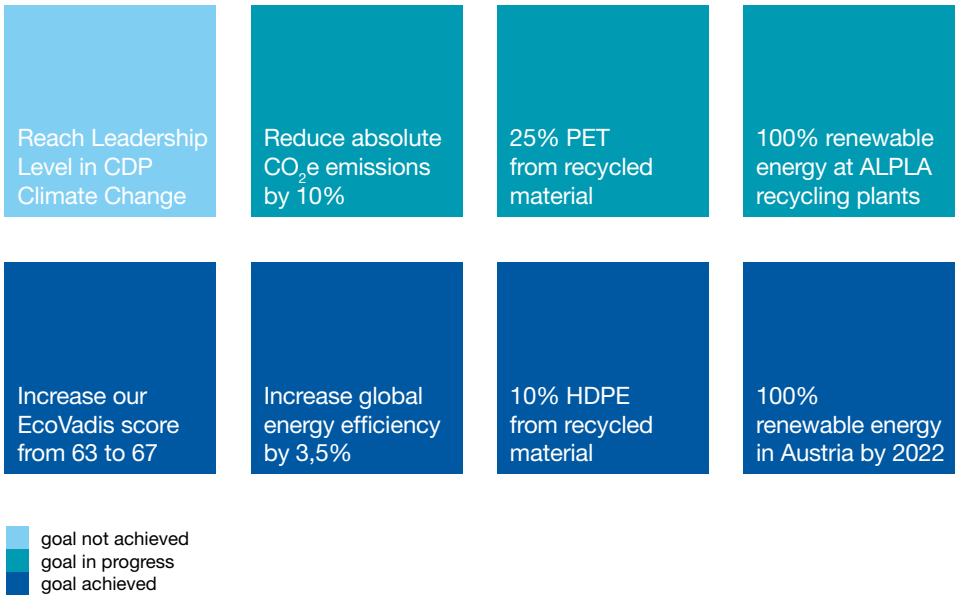
More about the topic of sustainability at ALPLA in the interview with Aswathy Koottummel and Roland Wassermann

We attained most of our energy-related targets. By 2022, we were running our Austrian plants on 100% renewable energy, along with two of our recycling plants – Wöllersdorf in Austria and Montcada i Reixac in Spain. Our energy efficiency rate increased well above the target too.

ALPLA – sustainability goals and performance

In the reporting period of 2018 to 2022, sustainability at ALPLA was driven by goals based on specific key performance indicators (KPIs). These were formulated by the relevant departments and the Sustainability Steering Council in tandem. In this section, we discuss some of the most prominent sustainability goals and ALPLA's related performance. The aspects highlighted below are the result of our most significant efforts towards sustainability.

These particular goals also yielded quantifiable results, allowing us to be transparent and accountable. For a comprehensive list of our goals, please refer to the section 'ALPLA's Sustainability Goals 2018–2022' in the online version.



We also achieved our goal of producing 10% of HDPE from recycled material – in fact, since 2018, the share of post-consumer-recycled (PCR) HDPE increased from 4.4% to 13.2% in 2021 and to 15.7% in 2022 (compared to the total volume of HDPE). The other goal related to raw materials was to have PCR PET reach 25% of our PET portfolio. We continue to progress towards that goal: the share in 2022 was 21%.

When it comes to KPIs related to ESG ratings, the picture is mixed: while we surpassed our EcoVadis target, being in the top 5% of all companies assessed, our CDP climate change score dropped from B in 2021 to C in 2022. We associate this primarily to the changes in the CDP questionnaires and to the fact that ALPLA had not committed to the Science Based Targets initiative (SBTi) at that time. ALPLA had the goal of absolute CO_2e emission reduction of 10% across the scopes. While ALPLA hit the target for Scope 2 reduction with flying colours by realising a 15% reduction in emissions between 2018 and 2022, Scope 1 and Scope 3 emission reductions were limited to 3.7% and 7.8% respectively. We are actively working on setting new targets, based on the criteria set by SBTi.

The Sustainability Award

At ALPLA, sustainability stands for responsible conduct in the three areas of People, Planet and Profitability. We initiated the ALPLA Sustainability Award in 2021 to shine a spotlight on all the many different activities – environmental, social and technological – from across the spectrum of sustainability into which our employees all over the world put considerable effort.

For the second edition of the ALPLA Sustainability Award in 2022, 50 projects were submitted. Of these, three projects were hailed as winners, showcasing the variety of sustainability: ALPLA North America's project focused on the smart monitoring of water losses, ALPLA India initiated several measures to advance women in the workforce, and our Dubai team developed an air leakage monitoring system on our machines, ensuring the elimination of downtime.

People – employee engagement and society

EMPLOYMENT AND LABOUR CONDITIONS

Our employees are crucial to our success; they are ambassadors of the company, continuously shaping ALPLA's public image. Our aim is to have enthusiastic and productive employees who apply their expertise and skills in the right positions. We therefore offer not only a work environment with excellent development opportunities, but also voluntary social benefits and a good work-life balance.

As we think long-term and act for the benefit of future generations, family-friendly labour conditions are a matter of great importance to ALPLA, which is why we support young families in balancing work and family life. A prime example of this is our network of childcare facilities. Aside from the ALPLA Kids facility located at the headquarters in Hard, Austria, we have also successfully set up on-site childcare facilities at two of our plants in India, also known as ALPLA Kids. This initiative exemplifies our dedication to fostering a work-life balance and prioritising the well-being of our employees.

'Our corporate identity, which was written down for the first time and communicated worldwide with the slogan 'We value our people', provides us with a framework within which we move throughout the ALPLA world.'

Gerhard Geismayr,
Global Director of Corporate HR
and Organizational Development

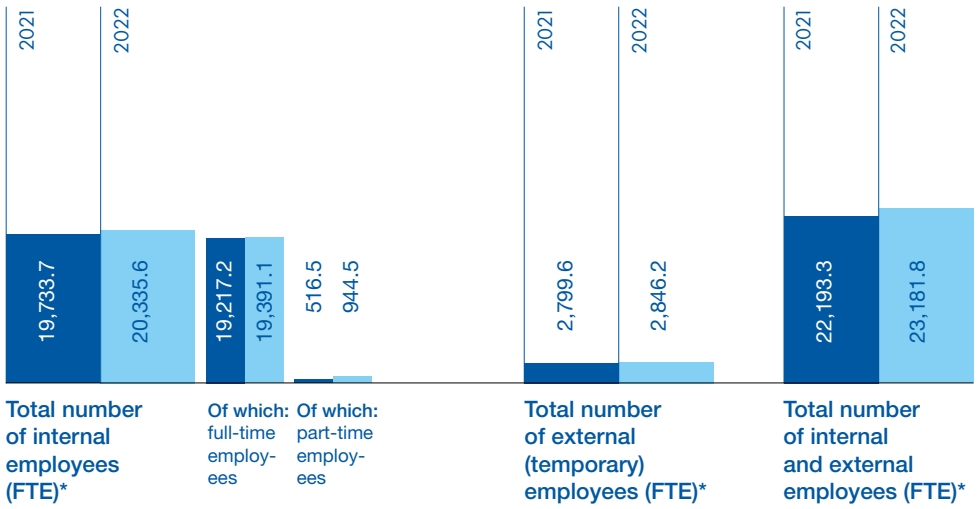
See interview with Gerhard Geismayr
for more information.

Equal treatment is a top priority at ALPLA: we treat our more than 23,000 colleagues the same, regardless of their origin, gender or beliefs. Not only do we respect differences, but we also regard them as a source of innovation for our success.

In India, there are more temporary workers in ALPLA compared to permanent employees, whereas in Mexico, Central America, and Caribbean (MXCA-Cari), the situation is reversed. Typically, temporary workers are primarily engaged in production roles. In terms of gender breakdown, the share of women colleagues was 24–25% in the reporting years. The Asia-Pacific (APAC) and Central and Eastern Europe (CEEU) regions boast the most substantial representation of women in the workforce, standing at 36% and 35% respectively. In contrast, India currently has a comparatively lower female workforce participation rate at just 10%.

The regional shares remained relatively consistent between 2021 and 2022. We distinguish between full-time and part-time employees in terms of benefits, some elements being available only for full-time employees, including company loans, staff housing for employees with children, assisting in finding accommodation, emergency or social funds, as well as meal subsidies. The same applies to permanent versus non-permanent employees.

TOTAL NUMBER OF EMPLOYEES

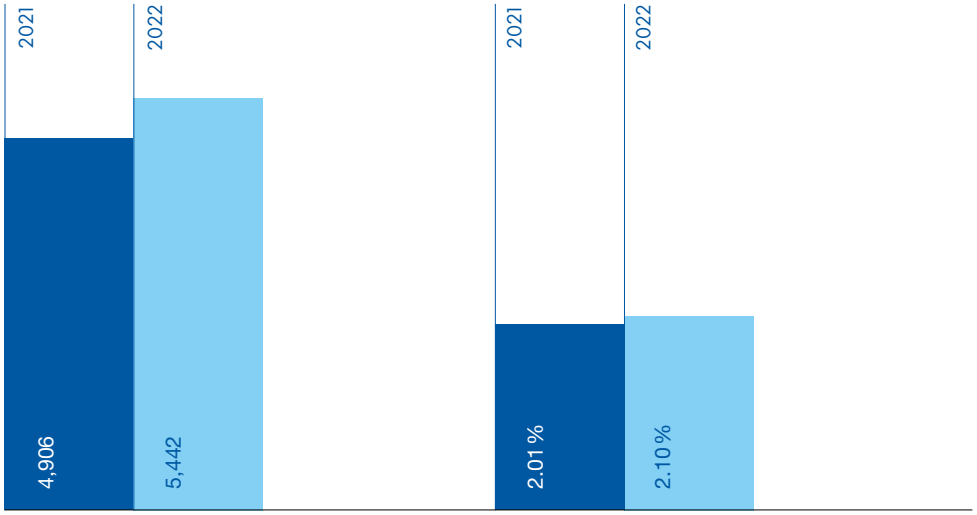


*FTE (Full-time equivalent)

The global employee monthly turnover rate was around 2% in both reporting years. In terms of the geographical monthly average breakdown in 2022, India (1.40%) and Africa, Middle East, and Turkey (AMET, 0.77%) show the lowest figures whereas North America (NOAM) has the highest (5.22%).

The overall low turnover rate is attributed to both organic growth and mergers and acquisitions, wherein we incorporate existing employees into our workforce as if they were newly hired.

TOTAL NUMBER OF NEW EMPLOYEE HIRES AND TURNOVER RATE



Total number of new employee hires

Average monthly turnover rate

‘It is the job of all of us to make ALPLA a safe place to work. The basis of our global HSE programme is to increase the safety awareness of our employees. We want to motivate them to recognise and eliminate all unsafe conditions and behaviours. There are no reasons to circumvent our security requirements. No matter how great the pressure from the market is. Safety comes first.’

Walter Ritzer,
COO ALPLA Group

HEALTH AND SAFETY OF OUR WORKFORCE

ALPLA prioritises employee health and safety by instituting a decentralised occupational health and safety management system (HSMS), designed to align with the Occupational Safety and Health Convention (No. 155) and Recommendation (No. 164) of 1981 while meeting specific legal requirements in each operating country. Furthermore, the system seamlessly incorporates global standards, including ISO 14001 for environmental management and ISO 45001 for occupational health and safety management, into the operations of many of our plants. Our system covers a wide array of activities for ensuring safety, ranging from routine office tasks to high-risk endeavours, emphasising the critical importance of implementing the HSMS for achieving organisational goals and ensuring workplace safety.

ALPLA’s risk assessment process includes skilled personnel and an occupational physician utilising digital tools to identify work hazards and share global control measures, minimising injury recurrence. Additionally, outsourced occupational health services collaborate with local HSE (Health, Safety and Environment) representatives to monitor employee hazard exposure and comply with legal requirements, conducting regular medical assessments for hazardous substances.

Employee engagement across all levels at ALPLA is crucial for the effective implementation of HSE programmes. This engagement is facilitated through NEXT, ALPLA’s tailor-made Operational Excellence programme, and more specifically for HSE in the Health and Safety Committee, guided by corporate HSE protocols, and includes both workers and plant management, with a focus on HSE during inspections. ALPLA also incentivises safety improvements through a rewards scheme and ensures transparent communication of incidents to prevent recurrence. The frequency of safety committee meetings varies based on plant size and legal obligations, ranging from monthly to biannually.

The contractor management process at ALPLA ensures that employees and external workers confirm awareness of workplace risks, the ALPLA safety standards and emergency procedures, committing to compliance. This process also involves evaluating the contractor's skills and qualifications, providing safety induction, presenting an overview of hazards, issuing permit to work systems (PTWs) for specific tasks and utilising a digital system for performance monitoring across most plants. The training sessions are provided at no cost to participants and are scheduled during regular paid working hours.

Mitigating noise exposure is a key focus within our manufacturing facilities. While substantial reduction of noise levels may not always be technically achievable, the mandatory use of hearing protection plugs within production areas is enforced. In order to assess the effects on employee well-being, routine annual hearing tests and respiratory health checks are conducted for all shop-floor personnel. In certain periods of the year, specific facilities within our organisation handle post-consumer recycled (PCR) material, known for its stronger odour than standard virgin material. To address this, we undertake comprehensive air analysis and deploy robust ventilation systems equipped with specialised filters to effectively manage possible unpleasant odours emanating from the material.

We make use of the ALPLA accident database, a worldwide system, to report, investigate and mitigate accidents and incidents, as well as unsafe conditions and behaviours. Our internal data analytics system assists in the monthly analysis and elaboration of key performance indicators.

‘We are the partner for your learning journey at ALPLA. We want to provide all our employees with a broad, extensive and innovative range of learning opportunities. In everything we do, we ensure that learning success is guaranteed.’

Kudret Sahin,
Head of ALPLA Academy

LEARNING AND DEVELOPMENT

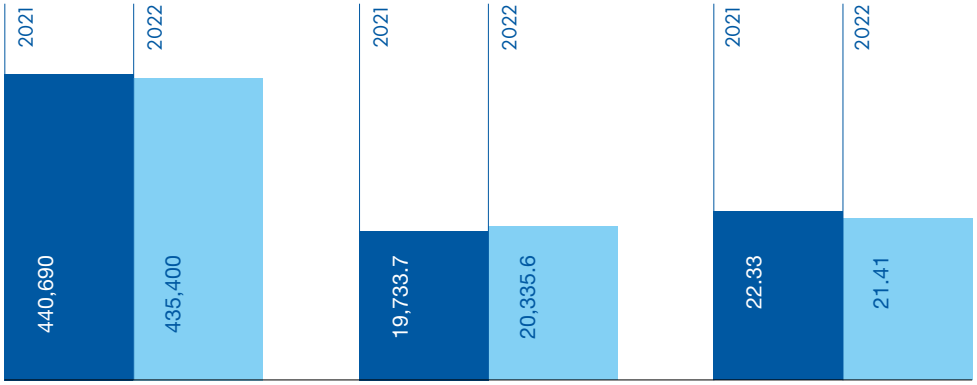
Our Corporate People Development department at ALPLA clearly demonstrates its dedication to the structured and systematic development of its employees, regardless of their rank or location. We align current and future business requirements with the portfolio and potential of our employees, emphasising our commitment to their learning and development.

Our centre for learning and training, the ALPLA Academy, enables our employees to develop personal and professional abilities and skills. Our global internal network of trainers and experts passes on our existing expertise, helping to sustainably embed this knowledge within the company. Various forms of learning are used, such as classroom training, e-learning and hybrid formats. To successfully accomplish its mission, it is essential that the ALPLA Academy engages with new trends and technologies as well as external requirements. The aim is to continuously expand the range of courses provided by the ALPLA Academy globally in cooperation with our Learning Centres and regional training coordinators present in all ALPLA regions.

The total number of training hours remained stable in 2021 and 2022, after a year-on-year increase of 11.8% from 2020.

The trend towards digitalisation during the coronavirus pandemic led to an increase in virtual courses and training sessions in many ALPLA regions. This continued even after the pandemic and resulted in a high demand for digital training opportunities. In 2022, a total of 16,060 optional e-learning courses were completed worldwide (excluding mandatory compliance e-learning courses) – an increase of 66% compared to 2020. In 2022, the ALPLA Academy offered 136 new e-learning modules and extended the portfolio up to an offer of 264 optional courses. With a special focus on personal development, there are now 130 new e-learning courses covering topics like behaviour and communication, learning new languages, management and teamwork, or inspirational leadership.

AVERAGE HOURS OF TRAINING PER EMPLOYEE



Total number of training hours

Total number of internal employees (FTE)*

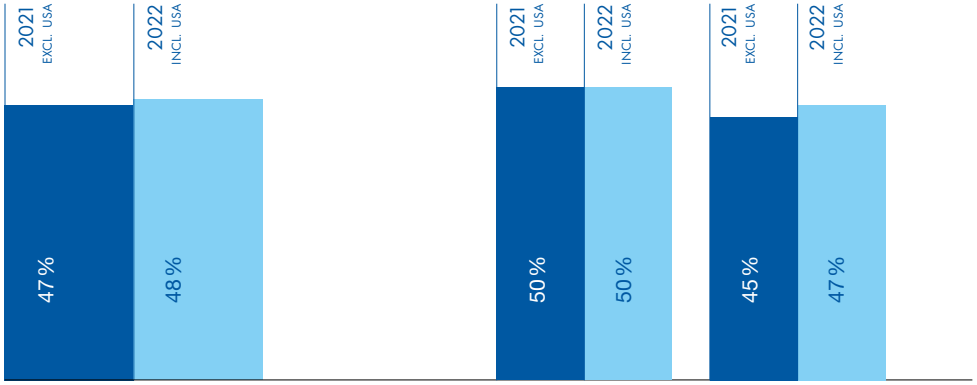
Average hours of training per internal employee (FTE)*

*FTE (Full-time equivalent)

Performance and career development

The Employee Dialogue is a key leadership tool that helps us clarify expectations and guide our energy in the same direction. It does so by driving business performance and employee development at the same time. The Employee Dialogue is in essence an opportunity to have quality communication between manager and employee (white and blue collar alike) on a regular basis about performance, development and collaboration.

PERCENTAGE OF EMPLOYEES RECEIVING REGULAR PERFORMANCE AND CAREER DEVELOPMENT REVIEWS



Total share of employees with a completed Employee Dialogue form

Of which: Blue-collar employees

Of which: White-collar employees

Dual training as an export hit

ALPLA has been offering junior employees dual vocational training in a variety of professions since 1960. This concept was first exported to Mexico and China in 2013, followed by an apprenticeship programme in India (2020) and Poland (2021). In 2022, ALPLA opened a second apprenticeship programme in Mexico. Additional apprenticeship programmes are planned in South Africa, Romania and USA.

Dual training quickly became well established in the countries involved despite its novelty. The option of combining practical training with a general qualification from a vocational school has become very popular among young people and their families. Participants who are particularly dedicated are also given the opportunity to travel to other ALPLA sites to work there for a few weeks and gain further experience.

‘Our goal is to establish all the parameters for those already working at ALPLA to be able to realise their full potential. Here, it is important to us that everyone knows the opportunities within the company and that we actively promote individual development.’

Andrea Becker,
Head of Corporate People Development

‘We want to convince people with scientific facts and figures, get into conversation with them and thus convince them of the numerous advantages of plastic. This is what aVoice stands for.’

Dominic Fiel,
Head of Corporate
Marketing & Communications

https://sustainability-report21-22.alpla.com/en/people/end-consumer-communications

ALPLA SPEAKS WITH AVOICE

With the aVoice project, launched in spring 2021, ALPLA is giving the fantastic material plastic a global voice. The aim is to raise awareness in society of using plastic responsibly as a valuable material and to engage in dialogue with people. Facts, arguments and the courage to debate help to dispel the myths surrounding PET and other plastics.

By the end of 2022, campaigns had already been implemented in Austria, Germany, Italy, Poland, Romania, Spain, the Czech Republic, Brazil, Mexico, the USA and the United Arab Emirates. Further campaigns are planned in countries such as the UK and France in the coming years.

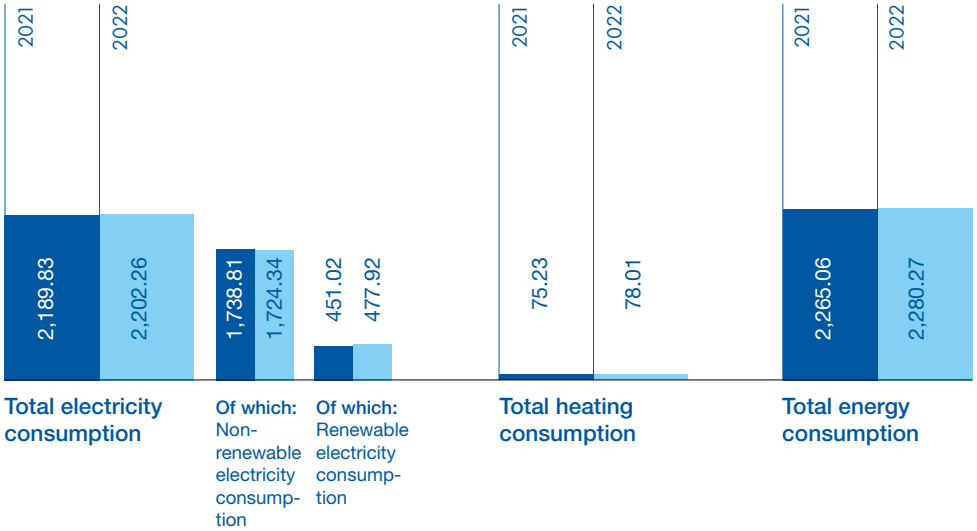
Planet – production and environment

ENERGY CONSUMPTION WITHIN ALPLA

Energy plays a critical role in the production journey from raw materials to plastic packaging. At ALPLA, we place the utmost importance on the efficient and responsible utilisation of energy.

Electricity constitutes 96% of our energy consumption and it therefore significantly impacts both our overall production costs and the environment. ALPLA primarily sources electricity from the local grid, which comprises a combination of fossil fuel-based and renewable energy sources. Additionally, we strive to generate our own energy through photovoltaic systems installed on our rooftops wherever feasible. Another energy source is natural gas, which is predominantly used for heating purposes, with the occasional reliance on oil in rare cases.

TOTAL ENERGY CONSUMPTION WITHIN ALPLA (GWH)



In the reporting years 2021 and 2022, our global energy consumption from electricity remained constant around 2,200 GWh, despite a 4% increase in our material consumption. Western Europe accounted for the highest consumption (29%), followed by Mexico and Central America (20%) and Central Eastern Europe (11%). We report our electricity consumption data based on the invoices managed by our plants. The figures include our base plants, in-house plants, and recycling facilities.

Renewable energy

Using renewable energy in our production processes is of great importance as it contributes to environmental protection, while conserving resources, driving innovation and meeting customer requirements. By increasing renewable energy usage, ALPLA can operate sustainably and help shape a future worth living in.

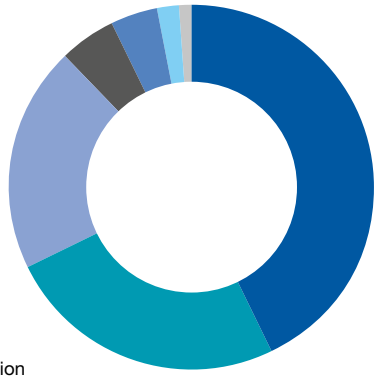
Our clear goal is to gradually increase the proportion of renewable energy usage in line with the demand of our customers as well as our decarbonisation efforts. In the reporting years, the proportion of energy consumption from renewable sources was at 21–22%. This share considers only the purchased renewable energy (i.e. not taking into account the renewable energy share in the national grids) as well as self-generated renewable energy (i.e. photovoltaic systems on our rooftops).

While countries like Austria, Germany, Spain, Portugal, Poland, Mexico, Costa Rica and Panama already have plants that run on (or close to) 100% renewable energy, we are actively examining potential options to further strengthen the share of renewable energy globally. These include short-term initiatives to switch to 100% renewable energy from biomass in further plants in the UK or obtain 70% of our energy from Power Purchase Agreements (PPAs) in remaining plants in Germany from 2024 onwards.

Energy efficiency

Each year, we conduct plant energy assessments to identify the energy-saving projects with the most potential. On average, five to six sites undergo such an assessment yearly. Our experts analyse the plants' energy consumption and energy efficiency. An individual action plan is then drawn up for each plant based on the results and in accordance with its future economic development. The savings potential following a successful assessment is around 10%. Much of the savings are made possible by modernisations and investments in new systems and machinery.

In our corporate strategy, our 2022 global energy efficiency target was to achieve 3.5% compared to our base year 2018. The year-on-year energy efficiency increase reached 0.75% and 0.69% in 2021 and 2022 respectively. The cumulative energy-efficiency increase in the strategic period adds up to a total improvement of 14.3% in 2022, well above plan, which equals an amount of 114.8 GWh in energy savings. Energy-efficiency improvement projects are mostly linked to electricity consumption (52%) and cooling activities (43%), with less focus on heating (5%).



43 % Cooling
25 % Mould dehumidification
20 % Low pressure
5 % Heating
4 % High pressure
2 % Ventilation
1 % Lighting

'Energy efficiency is more important than ever to meet challenging sustainability targets and reduce the risk of volatile energy prices.'

Andre Alber,
Corporate Plant Engineer

‘Embarking on the decarbonisation journey can only be done with solid foundations – our comprehensive GHG inventory ensures we have a clear understanding of our baseline emissions, allowing us to gradually decrease our global carbon footprint.’

Miklos Toth,
Senior Sustainability Manager

GREENHOUSE GAS (GHG) EMISSIONS

At ALPLA we understand that our operations contribute to the overall carbon equation. Therefore, we regularly quantify the carbon footprint associated with our plastic packaging and recycling production. CO_2e is used as a metric: in addition to carbon dioxide, this covers other greenhouse gases which are converted into volumes of carbon dioxide based on their climate impacts.

Our emissions assessment allows for a comprehensive understanding of our carbon impact, by including direct emissions from owned or controlled sources (Scope 1), indirect emissions from purchased electricity (Scope 2) as well as other indirect emissions from activities related to our value chain (Scope 3).

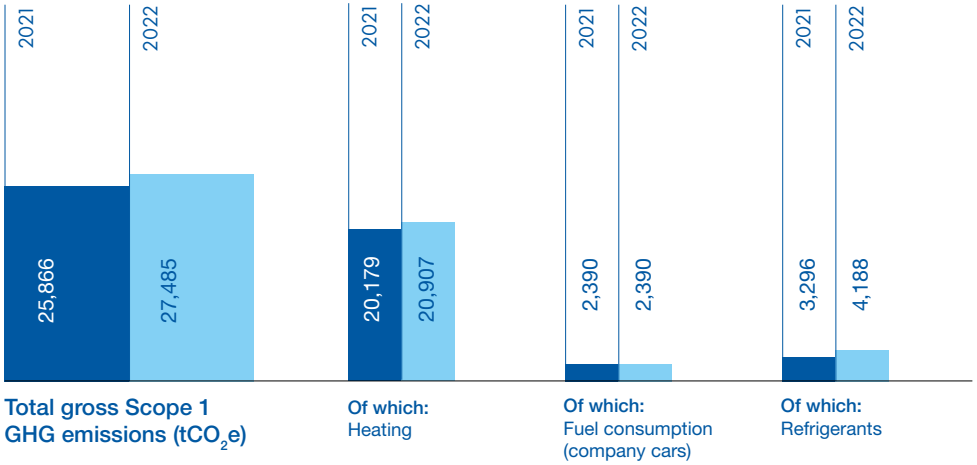
We have adopted an operational control approach for calculating our GHG emissions. This enables us to account for emissions stemming directly from activities over which we have operational control, thereby providing a comprehensive representation of our carbon footprint.

Our emission calculations are guided by the methodologies outlined in the Greenhouse Gas Protocol (GHGP), an internationally recognised standard for measuring and reporting GHG emissions. Adhering to the GHGP ensures that our reporting is consistent, comparable and credible, allowing stakeholders to accurately assess our progress in reducing emissions.

In 2022, our gross Scope 1 GHG emissions increased by around 6% compared to 2021. This can be linked to an increase in refrigerant leakages and slightly higher gas consumption for heating. For the fuel consumption related to company cars, we assume a steady value (based on estimations regarding the ALPLA-owned company cars in 2022); this will be recorded yearly from 2023 on. GHG emissions related to refrigerants also include estimations, as we have actual figures for approximately 75% of our equipment only.

Despite our overall business growth, our market-based gross Scope 2 GHG emissions remained flat in the reporting period due to our increase in the usage of renewable energy as well as global efforts to increase energy efficiency.

DIRECT SCOPE 1 GHG EMISSIONS



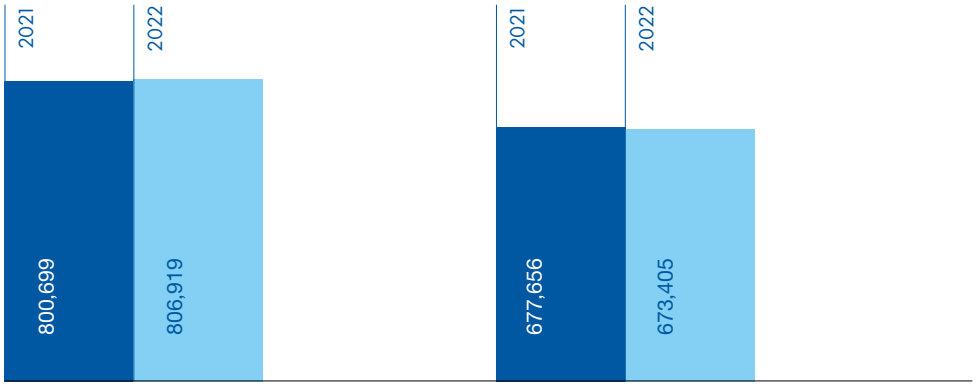
Total gross Scope 1 GHG emissions (tCO_2e)

Of which: Heating

Of which: Fuel consumption (company cars)

Of which: Refrigerants

INDIRECT SCOPE 2 GHG EMISSIONS

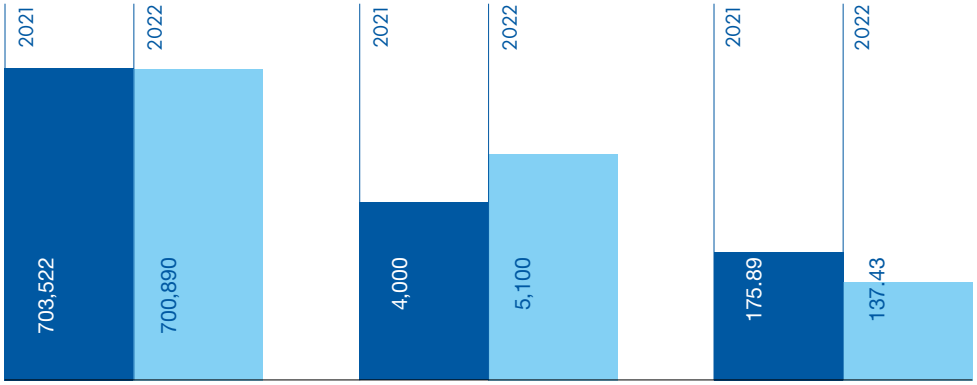


Total gross Scope 2 GHG emissions – Location-based (tCO_2e)

Total gross Scope 2 GHG emissions – Market-based (tCO_2e)

GHG emissions intensity at ALPLA dropped from 176 tCO_2e/mEUR to 137 tCO_2e/mEUR year-on-year, primarily due to stagnating GHG emissions in spite of our increased annual revenue.

GHG EMISSIONS INTENSITY



Total GHG emissions (Scope 1 + Market-based Scope 2) (tCO_2e)

Annual revenue (mEUR)

GHG emissions intensity (tCO_2e/mEUR)

Scope 3 GHG emissions

After having mapped our value chain, we initiated a screening of all the 15 categories of Scope 3 GHG emissions as per the GHGP and in line with the requirements of the Science Based Targets initiative (SBTi) to understand which activities are relevant to our business. During the screening, we took into consideration all the criteria listed by the GHGP when identifying relevant Scope 3 activities, including the potential significance of the categories, whether we can influence the reduction of the emissions, whether they have significant associated risks or are otherwise deemed critical by our key stakeholders. In the case of categories where we had no primary data, we used the Scope 3 evaluator tool from Quantis, recommended by the GHGP, to enable a decision on the relevance and materiality of the respective Scope 3 category.

To the screening results

Based on available data, we used the following approaches to calculate our Scope 3 GHG emissions for our material activities:

- For our purchased raw materials, we used the average-data method, calculating our emissions based on data available on the quantity of the different raw materials purchased. Raw materials sourced internally (rPET and rHDPE from our recycling plants) as well as PET and rPET volumes under the ‘hard tolling’ scheme (where customers purchase and transport the raw materials we process) were excluded, while the input materials of our recycling plants (PET and HDPE bales) were included in the calculation.

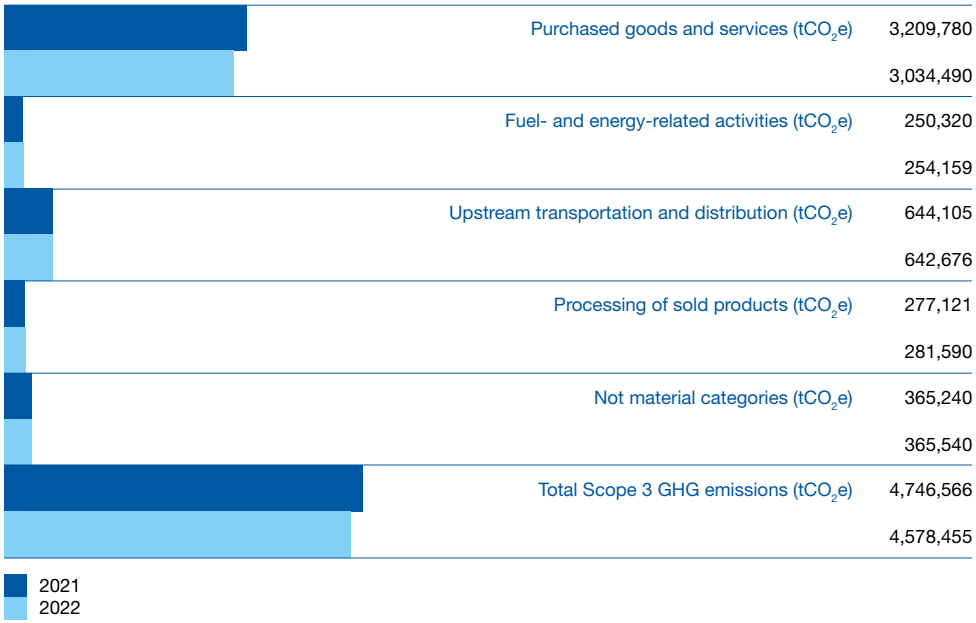
• We also used the average-data method for our fuel- and energy-related activities, focusing on the upstream GHG emissions of our purchased electricity (as the predominant energy source) only.

• For upstream transportation, we used the distance-based method, calculating emissions based on distance and mode of transport used. We have granular data on the transportation of our products to our customers, while we have only estimations on the distances the raw materials were transported to our plants.

• Finally, for the processing of sold products (preforms that are blown and then filled by customers), we used the average-data method. We assume our customers use electricity for their processes, and due to lack of data on their respective energy mixes, we use country-specific (location-based) emission factors when calculating GHG emissions.

The four material categories account for more than 90% of our total Scope 3 GHG emissions. Overall, we managed to decrease our Scope 3 GHG emissions 3,5% year-on-year. This is in line with our decarbonisation ambitions: we committed to the SBTi in June 2022, with the goal of setting science-based targets in the upcoming 24 months. We plan to set our near-term targets in 2023 both for Scope 2 and Scope 3.

COMPOSITION OF THE RELEVANT SCOPE 3 EMISSIONS



MATERIALS MANAGEMENT

Nearly half of the total cost of our production comes from raw materials – it is therefore paramount from both an environmental and an economic point of view to seek responsible sourcing.

We understand the potential negative environmental and social consequences of the plastics industry. We have therefore started to engage with our suppliers to support their sustainability journey.

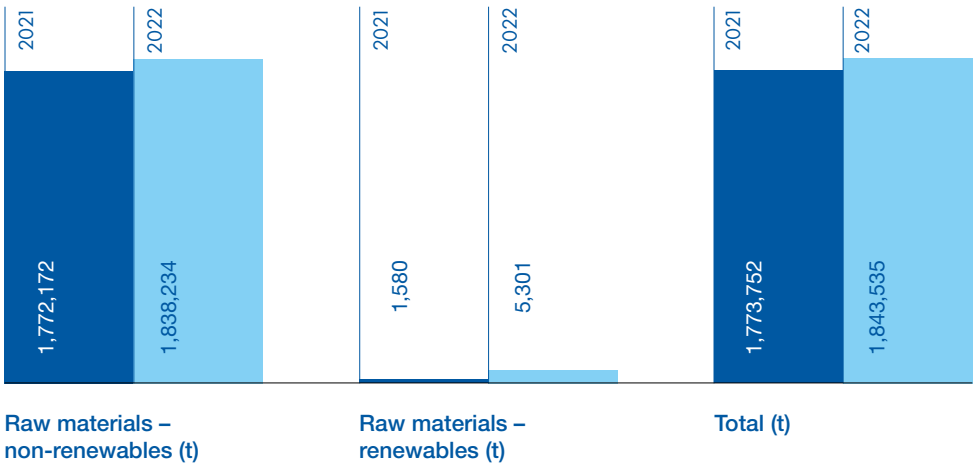
The ALPLA Group's supplier code of conduct – mandatory for all our suppliers – as well as the supplier self-assessment contain the main principles and international standards we adhere to and promote them to our suppliers.

Below we present in detail the volume of our raw materials; other purchased materials (including colouring and additives, as well as secondary packaging used in production) account for only a negligible fraction compared to the raw materials and are hence not elaborated on. Our raw materials are predominantly purchased from external suppliers, apart from some of the recycled raw materials used which are provided by our own recycling plants.

The total volume of the raw materials saw a 4% increase year-on-year. The volume of plastics from renewable sources (i.e. bio-based materials) increased significantly, although these still only accounted for 0.3% of the total volume in 2022.

Material consumption based on plastic type was similar in the two reporting years: we primarily processed PET (54.9% in 2021, increased to 57.2% in 2022) and HDPE (38.6% and 36.4%, respectively). PP accounts for the remaining share in the mix of non-renewable raw materials.

TOTAL VOLUME OF RAW MATERIALS



The circular economy and recycling

The circular economy has always been at the heart of ALPLA's strategy, and we are actively working on the 4Rs of the circular economy as follows:

Reduce:
Our initiatives include numerous cooperations with clients to achieve lighter products (using less material). A prime example of this is our SIMPLE ONE, an ALPLA refill solution made of 100% recycled HDPE, with 80% of material savings due to extremely lightweight packaging, resulting in a 55% GHG emission reduction as compared to a similar glass bottle. We also have 68 in-house productions worldwide. This form of cooperation enables various environmental benefits. For instance, there is no need for transportation or transport packaging, thus reducing the associated GHG emissions and secondary packaging material needed. In 2022, our in-house productions saved around 120,000 tonnes of CO_2e compared to the scenario of these being base plants.

Reuse:
In 2021, we partnered with Vöslauer to produce a reusable PET bottle made of fully recyclable PET and containing around 30% recycled material. According to the analysis by c7-consult, the reusable Vöslauer bottle causes only 70% of the carbon emissions of alternative reusable glass bottles, making it the more environmentally friendly packaging solution. Another example is the PET pearl bottle well-known in Germany – a reusable solution for the 'Genossenschaft Deutscher Brunnen', the main purchasing association of the German mineral water industry, with 30% recycled content. Reusable PET bottles from ALPLA are also available in other countries, such as Mexico. With European legislation promoting the use of reusable bottles, we plan to scale up these operations in the future.

Replace:
Paper, plant-based or bacteria-derived materials – ALPLA is thinking outside of the crude-oil-based box, in search of the optimum packaging solution for the future with numerous joint venture partners. Our activities for replacement focus on different – albeit somehow interrelated – topics. In 2021, with the acquisition of a significant minority stake in the Slovakian company Panara, focusing on fully bio-based and biodegradable plastics, we stepped up our ambitions to substitute crude oil with bio-based plastics. We also introduced our biodegradable packaging solutions under the Blue Circle Packaging label: our first product is the Blue Circle home-compostable coffee capsule. Furthermore, we have been a partner of Blue Ocean Closures since its foundation in 2021, targeting the acceleration of the development of bio-based, biodegradable and recyclable caps and lids. Finally, we have been active in the development of paper bottles under our brand Paboco since 2019. Together with our pilot customers, Paboco is working intensely on realising its long-term objective: the development and scaling of a fully bio-based, recyclable, fibre-based bottle made of renewable materials.

Recycle:
We have been involved in the recycling of plastic and the processing of the recycled material into new packaging for more than 30 years, advocating the bottle-to-bottle approach, meaning that plastic bottles should not be regarded as waste but rather as valuable materials that can be turned into new bottles. This approach not only generates value for used plastic packaging, thus stimulating the circular economy and preventing littering, but also has a considerable impact on GHG emissions, as recycled PET (or rPET) causes up to 90% fewer GHG emissions during its life cycle than the same amount of virgin PET, while maintaining the excellent characteristics of a PET bottle from virgin materials.

Design for recycling:
All packaging produced should be designed in such a way that the recycled material has the highest possible chance to be reused. This can be achieved by reducing the complexity of all packaging as much as possible without compromising on functionality or consumer safety. For ALPLA, this means that the packaging we produce is designed to be fully recyclable, allowing it to be used to create new packaging.

Increasing recycling capacities:
While our first steps into recycling were taken a long time ago, the number and the installed and projected recycling output of recycling plants within ALPLA considerably increased during the reporting years. In 2021, we expanded our plant in Anagni, Italy, with an annual capacity of 15,000 tonnes for PET recycling, complemented with another 15,000 tonnes in Targu Mures, Romania (as part of a joint venture). Two acquisitions in Germany further increased our global PET recycling capacity by an annual 42,000 tonnes. In Mexico, we opened a new plant in 2021 that focuses on the recycling of HDPE (with an annual capacity of 30,000 tonnes), while we also initiated a PET recycling plant together with Coca-Cola FEMSA in 2022 (35,000 tonnes annual capacity). Finally, in 2022, as a joint venture with PTT Global Chemical, we opened a recycling plant in Thailand that has an annual production capacity of 45,000 tonnes of recycled PET and HDPE, now one of the largest recycling plants for these plastics in Asia.

Ellen MacArthur Foundation membership:
We are a signatory member of the New Plastics Economy's Global Commitment, an initiative of the Ellen MacArthur Foundation (EMF). As part of this commitment, we have set numerous targets related to recycling. For example, we have committed by 2025: to have all our produced packaging products be 100% recyclable (89.3% in 2022), to invest 250 million EUR in recycling activities (74.5 million EUR in 2022) and to reach 25% post-consumer-recycled (PCR) raw materials in our products.

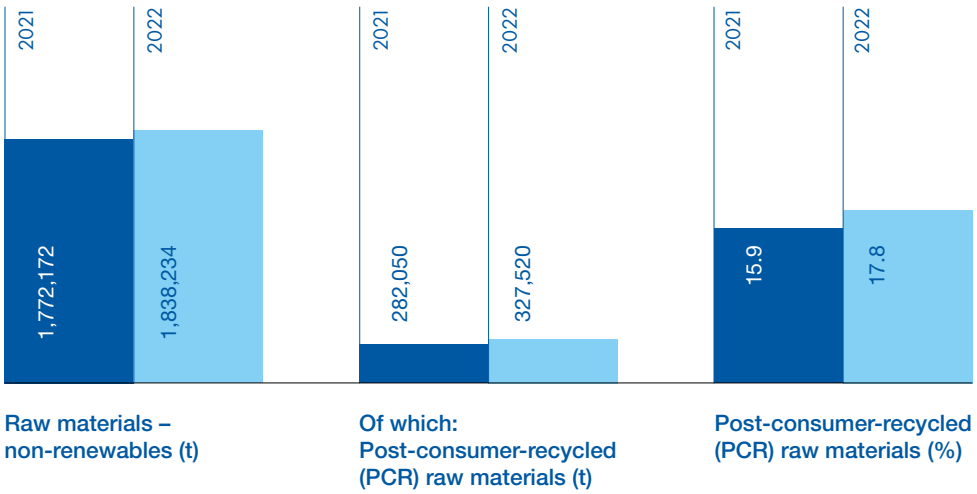
'Recycling is not the conclusion of a packaging life cycle, but rather its inception. While recycling plastic bottles represents one facet of the broader circular plastics economy, ALPLA is leading the way as a best-practice pioneer with substantial expertise.'

Lisa Blum,
Recycling Expert

Our initiatives clearly showcase our determination to be a global recycling champion.

The proportion of recycled materials increased significantly in the reporting period, in line with our strategic objectives. In 2021, we purchased approximately 282,000 tonnes of recycled plastics (of which 68% was PET), which equates to 16% of all the materials purchased. In 2022, this increased to 327,520 tonnes (68% PET), which equals 18% of the overall consumption.

TOTAL VOLUME AND PROPORTION OF RECYCLED RAW MATERIAL



Waste management

Our focus on circularity is also reflected in how we manage our waste during operation. All plastic scraps arising from production are recycled and subsequently channelled back into the loop, while we also sell scrap materials that are not recyclable within our production process. We distinguish between hazardous waste (cleaning chemicals, oils, batteries, paints, etc.) and non-hazardous waste (municipal waste, packaging waste, construction and demolition waste, etc.) when collecting data from our plants. We are currently working on an update of our waste data management and will therefore disclose our waste generation and treatment figures in our next sustainability report.

Challenges

Waste collection: While our complex recycling process covers the steps all the way from aggregating unsorted household waste to the extrusion and decontamination of (ground, washed and sorted) flakes, waste collection is out of our scope. Unfortunately, due to the lack of efficient waste collecting systems in numerous countries worldwide, a considerable proportion of plastic packaging still ends up in landfills or is incinerated instead of being kept in the loop for recycling. States should therefore invest in intelligent waste management systems and ban landfilling/incineration of recyclable plastic packaging, as what is not collected cannot be recycled.

This is also why we decided to support NIDISI, a non-profit organisation in Nepal. With the slogan ‘Don’t waste the waste’, NIDISI achieves this change of mindset with its ‘Revalue’ project by giving value to what may seem worthless and reintegrating plastic into the value chain. In this way, plastic waste is perceived as a resource and not as waste. The Revalue project is committed to the sustainability claim of working against environmentally harmful plastic, to improve the living conditions of the people affected and to advocate for socially acceptable work.

Availability of PCR raw materials: Targets for recycled content are becoming increasingly ambitious. In addition to the 2025 Ellen MacArthur Foundation targets, the European Union expects 30% of raw materials used to be PCR by 2029, as part of the European Single-use Plastics Directive. PCR content is also increasingly being seen as a differentiating factor on the market, pushing brand owners to launch products with the highest PCR content technically possible. These two factors have caused a significant increase in the demand for PCR raw materials, and thus a considerable spike in the prices in recent years.

Downcycling: Unfortunately, high-quality recycled PET (rPET) is procured by other sectors such as the textile and automotive industries at a very competitive price. According to figures from Eunomia and Zero Waste Europe, 68% of PET bottles are downcycled, leaving only 32% on the original PET beverage bottle market. This means that the plastic beverage packaging industry will likely be unable to meet the target for recycled content, as the required quantity and quality of rPET is simply not available. Legislation at the European level should therefore ensure the promotion of closed-loop (bottle-to-bottle) recycling.

WATER MANAGEMENT

We acknowledge the importance of water as a vital resource and endeavour to use it efficiently and responsibly, even though our packaging production operations involve limited water usage (the relevance of water is higher in our recycling operations, as water is used there for washing the input material).

We primarily source (fresh) water from municipal sources and, in some of our facilities, from our own wells. This combination of water sources helps us ensure a consistent supply while considering local water availability and sustainability. We are dedicated to complying with all relevant water usage regulations and standards, and we closely monitor the quality of the water we use and discharge, aiming to prevent any negative impact on the environment or communities around our facilities. Through regular assessments and testing, we ensure that our water usage aligns with established guidelines.

Recognising the significance of responsible water management, we set a water reduction target in 2018. Our objective was to achieve a 20% reduction in water consumption by the end of 2022. We approached this goal with a focus on optimising our processes and implementing efficient technologies. This reduction initiative was undertaken as a part of our commitment to safeguarding water resources and minimising our environmental footprint. As of 2022, our freshwater consumption had decreased by 6%, despite the growing number of plants and recycling facilities.

WATER WITHDRAWAL, WATER DISCHARGE AND WATER CONSUMPTION	2021	2022
Total water withdrawal (m^3)	**798,679**	**948,151**
• Of which: Municipal water	725,784	876,883
• Of which: Groundwater	72,895	71,268
Total water discharge (m^3)	**450,431**	**462,920**
• Of which: Municipal water	404,815	398,952
• Of which: Groundwater	45,616	63,968
Total water consumption (m^3)	**348,248**	**485,231**
• Of which: Municipal water	320,969	477,931
• Of which: Groundwater	27,279	7,300

Our water consumption increased by around 19% year-on-year. This can be linked to an increase in our production processes as well as our increased recycling activities. Our water discharge also increased by 3% – most of our water discharge goes to third-party sewage systems.

We recently developed our water stress analysis, using the World Resources Institute's Aqueduct tool, to map our locations in terms of water stress, with the conclusion that around 50% of our water withdrawals come from areas that have a 'high' or 'extremely high' water stress factor (meaning that demand for water exceeds the available supply locally by at least 40%). Also, 44% of our sites are in highly or extremely highly water-stressed areas. The countries concerned the most are Mexico, India, Italy, Spain and Turkey.

Profitability – governance and economy

BUSINESS ETHICS AND LEGAL COMPLIANCE

ALPLA is committed to conducting business in a fair and ethical way, in compliance with all legislative requirements. As we are a multicultural company with a global focus, we need a shared understanding of what constitutes ethically irreproachable business practices.

Our Code of Conduct – available in 27 different languages – is the framework for business ethics and legal compliance; we expect all employees to comply with the principles laid down in the Code of Conduct, as well as legal requirements and other internal regulations. This is reinforced by the fact that all employees and new members of the company have to complete mandatory related training, which are available in 23 different languages, in order to facilitate a unified understanding of our values and principles.

We also adhere to the Ethical Trading Initiative's (ETI) Base Code, and conduct more than 50 social audits annually, involving our plants on a representative and risk-based approach. Following up on any nonconformity identified during the audits ensures a continuous improvement in our business ethics performance.

As our business relies heavily on suppliers (primarily providing raw materials), their sustainability performance is a key factor to our success. Therefore, our Supplier Code of Conduct is a mandatory document for all third parties wishing to have a business relationship with ALPLA. Derived from our own Code of Conduct, it presents the principles and requirements towards our suppliers, related to topics such as environmental protection, anti-corruption, human rights, labour standards and intellectual property.

Our dedicated Compliance department is responsible for preventing non-compliant behaviour by establishing internal policies and providing training to all employees. They are also acting as a contact point for any concerns regarding compliance. Since December 2021, our Reporting channel is accessible to all employees and third parties, while preserving confidentiality and anonymity. In 2022, we had a total of 37 non-compliance cases reviewed and closed, and none of them were confirmed as ethical misbehaviour.

To the ALPLA Code of Conduct

Region in Focus

WELCOME TO MEXICO, CENTRAL AMERICA AND THE CARIBBEAN

ALPLA entered the Caribbean market back in 1976 with the opening of its first production facility in Guayama, Puerto Rico. The plant began using extrusion blow moulding and injection moulding processes to produce bottles for an international cosmetics company and other local customers. In 2005, operations were expanded to the Dominican Republic, where ALPLA later acquired a local packaging manufacturer, solidifying its position as a major player in the plastic packaging industry in the Dominican Republic.

In the Caribbean, ALPLA offers a broad range of standard packaging solutions and customised bottles and closures for a wide variety of markets. The product range includes bottles and containers with volumes from 60 millilitres to 230 litres, crates including decoration and assembly, PET preforms and closures. Given the changing market and industry conditions in the region, ALPLA is currently tapping into less traditional segments in the Caribbean such as industrial containers, durable goods such as pails and plastic parts for the manufacturing sector.

In 1991, ALPLA also started up its first plant in Toluca, Mexico. An in-house production followed in 1993, also in Toluca. Key industries in the region include food, cosmetics and home care. To achieve its long-term sustainability goals, ALPLA opened the IMER recycling plant together with Coca-Cola FEMSA and the Coca-Cola Company in 2005. This was the first food-grade PET recycling plant in Mexico and Latin America. ALPLA also introduced the dual training system based on the Austrian model in Mexico to ensure the high quality of ALPLA's packaging solutions. In this programme, young people receive first-class schooling and are trained in metal and plastics technology professions.

To further strengthen the regions, the Caribbean was fully integrated into the Mexico and Central America region in July 2020. The region thus comprises Mexico, Guatemala, Nicaragua, Honduras, Costa Rica, Panama, Puerto Rico and the Dominican Republic. At the 36 locations currently active, more than 3,000 employees ensure that our customers in this region are optimally looked after and supplied every day.

'Following the methodology defined in the Greenhouse Gas Protocol, we have measured our regional impacts in Scopes 1, 2 and 3. Understanding where we stand in terms of our emissions is the first crucial step in developing efficient strategies to reduce our carbon footprint.'

Laila Munayer,
Sustainability Manager
at ALPLA Mexico

More about the activities in the region Mexico, Central America, and the Caribbean in the interview with Laila Munayer and Leonardo Velasco.

In early 2021, ALPLA and Coca-Cola FEMSA, the largest bottler of Coca-Cola products worldwide, commenced the construction of a recycling plant in the Cunduacán district of the Tabasco state in Mexico through a joint venture.

ALPLA AND COCA-COLA FEMSA'S JOINT VENTURE STRENGTHENS THE CIRCULAR ECONOMY IN MEXICO

In Mexico, the need for sustainable waste management practices is particularly pressing, with big differences in plastic collection rates between urban and rural areas. Mexico City boasts an impressive plastic collection rate of 96%, but the story is vastly different outside urban centres. There are some areas where we see collection rates as low as 12%.

However, with the initiation of the PLANETA recycling plant, a joint venture between ALPLA and Coca-Cola FEMSA, both companies are taking significant steps toward enhancing the circular economy in Mexico. By accepting used PET bottles and supporting the collection of plastic, ALPLA is directly empowering individuals, families and neighbourhood associations known as 'Socios Acopiadores'. Even in remote rural regions lacking proper collection infrastructure, ALPLA dispatches its trucks to gather recyclable materials from these 'Socios Acopiadores', bridging the gap in disposal structures. This initiative not only promotes responsible plastic handling but also creates vital opportunities for people's livelihood.

The project anticipates creating more than 20,000 direct and indirect jobs during both the construction and operational phases. These employment opportunities are expected to have a positive impact on the region's development and employment rates. With investment exceeding 80 million dollars, the PLANETA recycling plant will be equipped with state-of-the-art technology. The advanced facility will process 50,000 tonnes of post-consumer PET bottles annually, resulting in 35,000 tonnes of ready-to-use recycled PET material, perfectly aligned with our principles of a circular economy.

Outlook

NEW SUSTAINABILITY GOALS 2023–2026 (2030)

In line with our purpose statement 'Providing solutions for safe, affordable and sustainable living worldwide' and our global ALPLA Strategy 2026, we are developing the Sustainability Strategy 2026. Only the simultaneous, balanced implementation of environmental, social and economic goals enables long-term sustainable development. Our sustainability goals will therefore be structured following our three pillars:

As part of the People pillar, we have a special focus on the topics of training and childcare. In doing so, we want to increase global dual apprenticeship programmes from 250 to 500 students by 2030, with focus on our locations in Africa, India, the United States, as well as Mexico. We also aim to provide solutions for childcare at 50% of our plants by 2026.

Within the Planet pillar, we will have the strategic goal of reducing our annual Scope 1 and 2 CO_2e emissions by 4.7% by 2030. The main contributor at ALPLA for these emissions is purchased electricity, hence we continuously invest in increasing our share of renewable energy (e.g. with Power Purchase Agreements and Energy Attribute Certificates as well as self-generated electricity from photovoltaic sources) as well as increasing the energy efficiency in our plants.

The biggest contributor to ALPLA's CO_2e emissions is by far our material consumption (related to Scope 3). We will have a clear focus on increasing our share of recycled material by investing 50 million euros per year for this very purpose, and to follow our aim of becoming the most sustainable packaging provider by realising the circular economy concept, called the 4Rs:

REDUCE
lightweighting of products, resulting in less material consumption

REUSE
keep returnable bottles for industrial refill in the loop as long as possible

RECYCLE
bottle-to-bottle approach

REPLACE
innovation initiatives with bio-based and biodegradable material

However, our circular economy initiatives alone will not be enough: emissions from the value chain cannot be decreased radically without a proactive engagement with our suppliers and customers. We will request our suppliers to disclose their environmental data to evaluate their impact on ALPLA's CO_2e performance and to work together for a sustainable supply chain.

The third pillar, Profitability, is about governance, business ethics and economic performance. Here, we will aim to continuously improve our ESG ratings, as these give us holistic feedback on where we stand in terms of sustainability. Our goal is to maintain the Gold rating at EcoVadis (i.e. being among the top 5% of all companies assessed), and also to maintain our B score at CDP.

UPCOMING LEGISLATIVE REQUIREMENTS

Recent years saw unprecedented dynamics in the European legislation around plastic packaging and sustainability in general, with the overarching goal to support the ambitious targets of the European Union regarding climate neutrality and the circular economy. We have been active participants of these legislative processes by taking part in different working group discussions and drawing position papers to clarify some aspects that are crucial for introducing a truly sustainable and feasible system.

New Europe-wide rules for packaging

The European Commission presented the draft of the new EU Packaging Regulation to the European Parliament and Council on 30 November 2022, and the legally binding regulation is scheduled to follow in mid 2024. As per the draft Packaging and Packaging Waste Regulation (PPWR), all packaging in the EU is to be recyclable by 2030 (our target year for this is 2025). A quota for the use of PCR material in plastic packaging is set to ensure this: the quota will be 30% for PET packaging used for food and contact-sensitive packaging as well as for single-use plastic drinks bottles, 10% for food-grade non-PET plastic packaging, and 35% for all other plastic packaging.

Reusable packaging is also to be promoted by means of quotas and mandatory deposit systems. In the future, beverages and food also have to be offered in reusable or refillable packaging. Unnecessary single-use packaging for fruit and vegetables is to be banned immediately, as will miniature packaging in the hotel and gastronomy sector from 2030 onwards. An EU-wide labelling obligation is intended to provide clear information on materials, collection and disposal for all packaging types. In addition, the EU intends to introduce rules for the use, design, disposal and recycling of compostable plastics.

We consider the PPWR proposal of the Commission to be an important step towards a circular economy. However, we emphasised in a position paper that there is a need for clarification and further improvements on certain regulatory aspects, including the equal treatment of all packaging solutions regardless of their material to enable fair ecological competition. Indeed, if targets or legal requirements are just applied to plastic packaging as proposed, the market shifts towards non-plastic packaging solutions with less legal pressure, but no ecological benefit and an even higher CO_2e footprint.

Tackling plastic pollution and microplastics in particular

Microplastics are small plastic particles up to 5 mm in diameter. They are coming increasingly into focus due to their long-lasting negative environmental and health impacts: the abrasion of synthetic textiles and car tyres as well as the degradation of plastic waste from either domestic, industrial or agricultural use result in a spread of microplastics into all layers of our ecosystems (including food and drinking water).

In 2020, the EU adopted its new Circular Economy Action Plan, announcing an initiative to address the unintentional release of microplastics into the environment. Among other goals, this aims to develop labelling, standardisation, certification and regulatory measures on the unintentional release of microplastics, including measures to increase the capture of microplastics at all relevant stages of products' life cycles.

This was followed by the 2021 Action Plan called 'Towards a Zero Pollution for Air, Water and Soil', aiming to reduce different types of pollution to levels no longer considered harmful to health and natural ecosystems. One specific target for 2030 is to improve water quality by reducing waste, plastic litter at sea (by 50%) and microplastics released into the environment (by 30%).

To monitor the release of microplastics into the environment, the European Commission plans to introduce a reporting scheme for all producers of plastic materials from 2024 onwards. In line with this initiative, we implemented a plan for our plants to help them achieve zero pellet loss. The programme is based on the voluntary guidelines introduced by the Austrian government to prevent plastic raw materials from entering waterbodies, but ALPLA expanded the initiative to its plants globally. By 2022, we introduced a Zero Pellet Loss policy in 47 of our plants, initiating major changes in our logistics by installing custom-built vacuum cleaners and drainage systems, among other initiatives.

In parallel with the European Union, the United Nations are also working on a legally binding plastic treaty by 2024. In March 2023, representatives of 175 UN Member States committed to end plastic pollution, addressing the full life cycle of plastic, including its production, design and disposal. ALPLA endorses the initiative and actively participates in the Business Coalition for a Global Plastics Treaty, as this could give another boost to the development of the circular economy globally.

Stricter reporting requirements on sustainability

The European Union has initiated a series of legislative acts which require large companies to publish regular reports on the social and environmental aspects of their business, including a detailed risk assessment of their whole value chain. While these acts will only come into force in the upcoming years, we have already started to prepare for the new requirements in order to have adequate processes and data governance in place by the time mandatory reporting will be applicable to ALPLA.

The Corporate Sustainability Reporting Directive (CSRD) and the accompanying new European Sustainability Reporting Standards (ESRS) will enable a consistent assessment of sustainability performance across companies and industries (especially due to the mandatory external assurance of the annual sustainability reports), potentially serving as the basis for future investment decisions. The EU Taxonomy Regulation also aims to link financial and non-financial performance by developing and maintaining a classification of business activities which are deemed sustainable – i.e. aligned with a net zero trajectory by 2050 and with broader environmental goals – based on a set of criteria. Mandatory reporting on our business activities aligned with EU taxonomy will come into effect in parallel with CSRD. Nonetheless, we are already identifying activities that could be aligned to the strict criteria.

Moreover, the EU is currently working on its Corporate Sustainability Due Diligence Directive (CSDDD), with the focus of identifying and mitigating environmental and human rights-related risks along the whole value chain. This complements CSRD with actual requirements for companies to handle risks and opportunities among their suppliers (upstream) as well as customers and consumers (downstream).

Finally, the European Commission published a proposal of the Green Claims Directive in March 2023, with the ultimate goal to crack down on greenwashing by ensuring that environmental claims are supported by verifiable and audited claims. We are closely monitoring the evolution of this initiative, especially as Member States will be responsible for the monitoring, potentially leading to a non-harmonised approach within the European Union.

IMPRINT

We look forward to receiving your questions, suggestions or feedback about our sustainability report and our activities.

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For more information on sustainability at ALPLA, please refer to the unabridged digital version of the sustainability report at https://sustainability-report21-22.alpla.com/en

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ALPLA sustainability report 2021-2022

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